

7.4 Practical Example

In the example below, I will explain how we use probability bands to guide option-selling decisions. It takes volatility and implied probabilities into account.

In the following table, we have collected Nifty's current price and India VIX, or the volatility index, in a fixed period. We have also calculated the implied volatility and stated days to the expiry of Bank Nifty and Nifty options.

Weekly Option Range for Option Writers based on Different Confidence Band								
Date		8-Aug-25	Weekly Expiry		14-Aug-25	Days to Weekly expiry		5
Nifty		24596	India VIX		11.7			
Confidence Band	Probability	% Away From Spot	Range				Total Premium (Put + Call)	Types of Trades
			Put	Premium	Call	Premium		
1.00	68%	± 1.2%	24300	30	24900	49	79	Aggressive
1.25	79%	± 1.4%	24250	24	24950	38	62	Less Aggressive
1.50	87%	± 1.6%	24200	21	25000	30	51	Neutral
1.75	92%	± 2.0%	24100	15	25100	18	33	Conservative
2.00	95%	± 2.2%	24050	13	25150	13	26	Most Conservative
Date		8-Aug-25	Monthly Expiry		28-Aug-25	Days to expiry		14
Bank Nifty		55521	Range				Total Premium (Put + Call)	Types of Trades
Confidence Band	Probability	% Away From Spot	Put	Premium	Call	Premium		
1.00	68%	± 2.2%	54300	140	56700	226	366	Aggressive
1.25	79%	± 2.7%	54000	106	57000	155	262	Less Aggressive
1.50	87%	± 3.3%	53700	79	57300	108	187	Neutral
1.75	92%	± 3.8%	53400	62	57600	77	139	Conservative
2.00	95%	± 4.4%	53100	48	57900	54	102	Most Conservative

Investments in securities markets are subject to market risks. Please read all related documents carefully.

In the table, I want you to concentrate on the columns for confidence bands. If you have previously studied statistics, you must know about normal distributions. To recapitulate, 68% of the distribution lies within one standard deviation on either side of the mean. We apply the same principle to Nifty and Bank Nifty, i.e., we expect Nifty's price movement to follow a normal distribution.

Here, the ATM takes the role of the mean. We calculate the standard deviation based on the volatility figures. Next to the confidence band column, we have the probability of the index ending up in that range. Next, we have listed the applicable call and put strike if you hold views corresponding to the confidence band. Finally, we have listed whether these strategies are aggressive, conservative, or between the two.